12
Document characteristics and preparing documents

Learning objectives

This chapter identifies the key characteristics of documents such as transport, insurance, commercial and official. It also focuses on title to the goods, the negotiability of the transport document, whether a bank can exercise control over the goods, and how the carrier or its agent will usually deliver those goods.

After studying this topic, you should be able to:

- understand the characteristics of transport documents as a necessary document under most documentary credits;
- explain the key features of other documents and the presentation process; and
- understand the options available to a beneficiary when a presentation is found to be discrepant.

12.1 Introduction

As discussed in Chapter 7, an issuing bank of a documentary credit gives an undertaking that it will honour a complying presentation made under it. A presentation will be made by, or on behalf of, the beneficiary.

An issuing bank assumes the risk of the applicant becoming insolvent and is responsible for the recovery of any funds from the applicant in respect of any payment to a beneficiary or a nominated bank. In order to cover this risk, an issuing bank may take security from the applicant, for example in the form of a cash deposit. More often, though, it will take comfort from any security obtained from the transport document tendered under a documentary credit.

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Some transport documents, such as bills of lading, can provide transfer of title or confer ownership of the goods to the bank. In these circumstances, an issuing bank may have the means of obtaining possession of the goods for resale in the event of a default by the applicant. When an issuing bank cannot obtain title to the goods, it may try to exercise some other measure of control over the goods in transit.

In addition to a transport document, a documentary credit will also require the presentation of one or more of the following documents:

- **insurance documents** – providing cover against risk to the goods during their carriage from the beneficiary's premises / country of export to the country of import / applicant's premises;
- **commercial documents** – identifying and describing the goods, as stipulated in the documentary credit; and
- **official documents** – evidencing compliance with the requirements of the country of export or the country of import.

It may also require the presentation of a financial document – that is, a draft (or bill of exchange) that determines the amount to be drawn under the documentary credit by way of honour or negotiation. The underlying characteristics of all of these documents are outlined in this chapter.

Finally, the beneficiary will arrange for the documents required under the documentary credit to be presented to the nominated bank or the issuing bank. This chapter concludes with an explanation of this presentation process and explains the options available to a beneficiary should the documents be determined as discrepant.

12.2 Preparing transport documents

The cycle of a transport document comprises three important stages:

1. understanding the requirements, as stipulated in the documentary credit;
2. creating the transport document; and
3. managing its handling from creation through to delivery of the goods.

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12.2.1 Understanding the requirements as stipulated in the documentary credit

From the point of view of both the beneficiary and the concerned banks, this is by far the most important stage of the cycle. It is essential that a beneficiary understands the precise nature of the transport document required under the documentary credit. In order to achieve this understanding, a beneficiary must carefully read the wording of the transport document requirement in the documentary credit. The beneficiary should then refer to the sale contract or proforma invoice agreed with the applicant and ensure that the required document matches that which was expected. If necessary, the beneficiary should clarify any concern with the applicant and, where appropriate, seek an amendment to the documentary credit.

It can also be useful to refer to the advising bank, because the bank may be willing to seek clarification from the issuing bank on behalf of the beneficiary. If issues are resolved in this way, there is less chance of documents being unnecessarily refused by any of the banks.

The transport document required by the documentary credit should also reflect the routing that is shown in Field 44 of the SWIFT MT700 message.

- If only Fields 44E and 44F are completed, the required document should be a bill of lading, non-negotiable sea waybill, charter party bill of lading or air transport document.

- If only Fields 44A and 44B are completed, the required document should be a multimodal transport document, road, rail or inland waterway transport document, or a courier receipt, postal receipt or certificate of posting.

- If any three or four of Fields 44A, 44E, 44F and 44B are completed, the required document should be a multimodal transport document.

12.2.2 Creating the transport document

In the case of carriage of goods by sea, traditionally when the mate of the vessel receives the goods on behalf of the master, a mate's receipt is issued. This document provides evidence of receipt on behalf of the vessel. It also shows that the goods have been received in good order and condition, or contains a statement as to the condition of the cargo if there are any apparent issues with the goods or their packaging.

The document will also indicate the number of packages, marks and numbers, and the name of the shipper.

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When a forwarding agent or carrier completes the documentation for the bills of lading, just before or at the time the vessel is due to sail, the bills of lading are signed and delivered in exchange for the mate's receipt.

In the case of other transport documents, there is rarely an intermediate stage, during which air, road, rail, inland waterway, courier, and parcel post transport documents are issued in exchange for acceptance and / or receipt of the goods.

12.2.3 Managing its handling from creation through to delivery of the goods

The transport document flow is illustrated in Figure 12.1.

Figure 12.1 Transport document flow

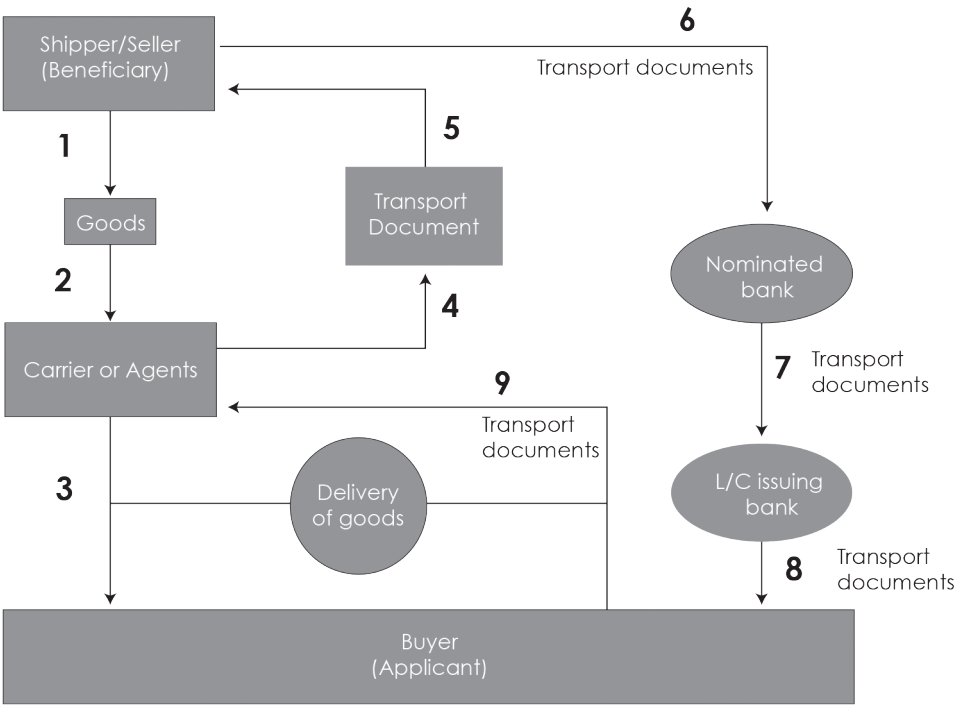


Figure 12.1 shows that the flow of a document, for example a bill of lading, is from the carrier to the beneficiary (shipper / seller) and then to the nominated bank. After handling a presentation, in terms of its nomination (with or without acting on its nomination to honour or negotiate) and which would include the bills of lading, the nominated bank forwards the presentation to the issuing bank.

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The issuing bank examines the documents against the documentary credit and, in the case of conforming documents, honours in accordance with its terms and conditions. The applicant receives the documents in exchange for reimbursement or in terms of any arrangement made with the issuing bank.

12.3 Types of transport document

As previously mentioned, the type of transport document used is determined by the method of carriage and the routing of the goods. The next section outlines the characteristics of each type of transport document.

12.3.1 Multimodal transport documents

A multimodal transport document is a document that covers at least two different modes of transport. Multimodal transport has developed rapidly over recent decades.

In particular, it allows goods to be sent from the beneficiary's premises to those of the applicant, using a single document. In these cases, a multimodal transport operator (MTO) or combined transport operator (CTO) undertakes contractual responsibility for ensuring that the goods are carried to their destination. The goods can be transported by a combination of different modes of transport, for example any combination of road, sea, air and rail. Under UCP 600, article 19, an MTO or CTO is not authorised to sign a transport document in either capacity. While it may be a transport operator, it must sign either as an agent of a named carrier or of the master, or in the capacity of carrier.

The shipper (the party sending the goods and usually the beneficiary) concludes a single contract of carriage with the MTO or CTO. The MTO or CTO makes its own contractual arrangements with the individual carriers for each successive part of the carriage. The MTO or CTO need not operate its own means of transport. For this reason, MTOs or CTOs are sometimes described as 'contractual carriers' to distinguish them from those carriers that physically transport the goods.

Multimodal transport techniques have a number of potential advantages, as follows.

- **They can help to reduce transit times –** an MTO or CTO and the shipper are able to select the quickest mode of transport for each leg of the journey, without diminishing the operator's responsibility for the whole journey. Because an MTO or CTO deals with transport, carriers, storage and clearing agents on a daily basis on behalf of many shippers,

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the various associated activities can be completed more speedily at the different ports and points of despatch and arrival.

- **They can lower costs** – an MTO or CTO may be able to command more competitive prices across all activities, including loading, unloading, storage and carriage.

At the same time, both the applicant and beneficiary will benefit from having a single arrangement to monitor. When multimodal transport involves an element of ocean carriage, the goods are generally placed in containers. In a few cases, the goods are loaded onto a barge at a river point, and the barge (often referred to as a 'LASH' barge) is stowed on the ocean-going vessel at the sea port. 'Roll-on, roll-off' (ro-ro) techniques are also employed on shorter voyages. In these cases, a lorry (truck) or trailer carrying the goods is loaded onto the vessel, or rail car, or wagon.

12.3.1.1 Title, negotiability and transfer

If the carriage involves, for example, travel over land and then by sea, the transport document is usually titled a 'combined', 'through' or 'multimodal' transport document. In such circumstances, where a vessel is the mode of transport for the last leg of the carriage, trade practice is to use it as a negotiable document capable of transferring title by delivery in the same way as a bill of lading. Negotiability and title are subject to any previous defect in title, such as that the multimodal transport document has not been stolen or fraudulently altered.

Under a documentary credit, an issuing bank will usually require a multimodal transport document to evidence that the goods are consigned to its order, or 'to the order of the shipper' (or 'to order'), and to be endorsed by the shipper in blank or to its order.

It should be noted that neither UCP 600 nor ISBP 745 makes any reference to title or negotiability. This is left to the applicable law.

12.3.1.2 Control over goods

If an issuing bank seeks to obtain security through the goods by means of a multimodal transport document, it will insist that all originals of the document are presented to it.

If, however, the carriage does not involve a final leg by sea to the country of import, the multimodal transport document may not be classed as a negotiable document capable of transferring title by delivery, or by delivery and endorsement (whichever applies).

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12.3.1.3 Delivery of goods

If a multimodal transport document is issued to order of a named entity, or 'to order', or 'to order of shipper', delivery of goods will be made against the surrender of an original multimodal transport document, or against a shipping guarantee or indemnity to facilitate the release of goods should the transport document be absent or lost. If a multimodal transport document is not issued in the manner described earlier – that is, if it is consigned to a named party (known as a 'straight consigned document') – goods will be delivered to the named consignee against simple identification, or against a delivery order or release note from the named consignee.

12.3.2 Bills of lading

The bill of lading first appeared in its modern form in the mid-nineteenth century and became the principal document used in maritime transport. Bills of lading are normally issued by, or on behalf of, a named carrier.

12.3.2.1 Title, negotiability and transfer

Over the years, it has become trade practice to use and accept bills of lading as transferable documents of title. Today, their legal status as negotiable documents of this type is specifically set out in the legislation of most countries. This means that when a bill of lading is issued in negotiable form, ownership of the goods to which the bill of lading relates can be conveyed by transferring the document from one person to another. Negotiability and title are subject to any previous defect in title, such as that the bill of lading has not been stolen or fraudulently altered.

An issuing bank will usually require bills of lading to be made out to its order, or 'to order of the shipper' (or 'to order'), and to be endorsed in blank or to its order. Rights under such bills of lading can then be transferred by endorsement and delivery. Regulations in certain countries require bills of lading to be issued to the order of the nominated bank and to be duly endorsed to the issuing bank. Depending upon the form of endorsement, a further endorsement by the issuing bank may be required before delivery of the document to the applicant. An issuing bank that requires the issuance of bills of lading to its order should be aware of the potential liability for charges, port dues and other expenses.

It should be noted that neither UCP 600 nor ISBP 745 make any reference to title or negotiability. This is left to the applicable law.

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12.3.2.2 Control over goods

If an issuing bank seeks to obtain security through the goods by means of bills of lading, it will insist that all originals are presented to it.

12.3.2.3 Delivery of goods

Against surrender of an original bill of lading The carrier is entitled to effect delivery of goods to the holder of one original bill of lading (duly endorsed, where necessary). If more than one original bill of lading is issued, the carrier is not concerned with the whereabouts of the others. In delivering goods to the holder of the one original bill of lading or the only original bill of lading, the carrier fulfils its primary obligation under its contract of carriage.

However, if a bill of lading is consigned to a named party (a straight consigned document), goods will be delivered to the named consignee against simple identification, or against a delivery order or release note from the named consignee.

Against an indemnity or shipping guarantee If the goods have arrived at the port of discharge and the bills of lading have not been received, the carrier may agree to deliver the goods against an indemnity or shipping guarantee. The carrier will almost always insist upon the issuing bank either countersigning or actually issuing the indemnity or guarantee. This is because the carrier is subsequently liable to a holder of an original bill of lading and, as such, liability is not restricted in time. This guarantee will normally be issued in the format required by the carrier, and may be unlimited as to amount and have no expiry date, depending on the requirements of the carrier.

It is important that the consignee arranges to clear the goods as quickly as possible after their arrival at the port of discharge or liabilities may be incurred to the port authorities for demurrage. 'Demurrage' may be defined as a charge levied by the port authorities for a failure to remove the goods within a specified time. Delays in receiving the original bills of lading may be the result of short sea journeys, delays in the beneficiary presenting documents to a nominated bank, or documents being held by a nominated or issuing bank because discrepancies have been found.

Indemnities (or shipping guarantees) are covered in Chapter 20.

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12.3.3 Non-negotiable sea waybills

A non-negotiable sea waybill is to be consigned to a named party – usually the issuing bank in a documentary credit transaction. They are also referred to as 'straight consigned transport documents'.

Non-negotiable sea waybills are used because a traditional bill of lading, the surrender of which is required before the carrier will deliver goods, is not practical for short sea journeys. This is because often the goods will arrive at the port of discharge before the underlying bills of lading have been received through banking channels; as a result, the clearance of goods can be delayed. The applicant may then incur demurrage charges and could also suffer loss in the sale of goods as a result of such delay.

The non-negotiable sea waybill was created to aid the transition process from paper-based bills of lading to electronic forms of bills of lading – that is, to allow the release of the goods without the need for the surrender of an original document to the carrier or its agent.

12.3.3.1 Title, negotiability and transfer

A non-negotiable sea waybill is not a document of title and is not a negotiable document.

12.3.3.2 Control over goods

If an issuing bank wishes to exercise control over the goods, it will insist upon being named as the consignee. This is sometimes subject to the consignor waiving its right to change the named consignee prior to delivery. This can be achieved by the non-negotiable sea waybill containing what is known as a 'lien' clause – that is, a clause indicating that the carrier or its agent will not change the name of the consignee without the submission of all of the original non-negotiable sea waybills for alteration and authentication by the carrier or its agent.

12.3.3.3 Delivery of goods

Delivery is made by the carrier or its agent to the named consignee and is not dependent upon the surrender of an original non-negotiable sea waybill. Delivery may also be made to a named entity against a delivery order or release note from the named consignee.

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12.3.4 Charter party bills of lading

Shipments of large bulk consignments – that is, of commodities such as oil, rice, wheat, sugar, steel, etc – will be made on a vessel hired specifically for the shipment. This hiring arrangement is called a 'charter party'. Such arrangements may be concluded either for a period of time or for a single voyage. The party hiring the ship concludes a contract of carriage with the owner or its agent. This is known as the 'charter party contract', and will include items such as the time period for the charter, the basis for loading and unloading the cargo, the ports of loading and discharge, and the party responsible for the freight cost.

Once shipment has been effected, a charter party bill of lading is issued and signed by the owner, master or charterer, or its respective agent.

The precise legal effects of charter parties vary from one jurisdiction to another. A particular problem is that, in many cases, rights conferred by a charter party bill of lading take second place to any rights that the shipowner may have against a charterer. For example, if a charterer defaults on payment to the owner, the latter may be able to recoup its losses by selling the goods. A bank is generally not aware, nor does it need to be aware, of the terms of even the most commonly used charter party contracts. A charterer may be the applicant (in an FOB contract) or the beneficiary (in a CFR or CIF contract).

There is also uncertainty as to how clauses of the charter affect the legal rights of the holder of a charter party bill of lading. Under UCP 600, except as required or permitted by a documentary credit, bills of lading indicating that they are issued subject to a charter party are not acceptable. If a charter party bill of lading is required or acceptable, banks will not examine the underlying charter party contract even if it is listed as a required document.

12.3.5 Air transport documents

The transport of goods by air gives rise to the issuance of an air transport document, more commonly known as an 'air waybill' or 'air consignment note'. The carrier, or its agent, issues such documents as evidence that the goods have been accepted for carriage.

12.3.5.1 Title, negotiability and transfer

An air transport document is not a document of title and is not a negotiable document.

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12.3.5.2 Control over goods

Control over goods rests with the shipper as consignor and the carrier up to the point of delivery. To allow control over the goods, UCP 600, sub-article 23(a)(v), requires that the presented air transport document be the original for consignor or shipper. This should prevent the consignor or shipper from exercising its right to request the carrier to change the destination or the consignee of the goods. The carrier or its agent should agree to such a request only if the original for consignor or shipper is handed over to it for amendment and authentication.

In most cases, if the bank wishes to take control of the goods, it will be the named consignee on the air transport document.

12.3.5.3 Delivery of goods

The carrier will deliver goods to the consignee, as shown on the air transport document, against proper identification, or against a delivery order or release note from the named consignee.

12.3.6 Road, rail or inland waterway transport documents

Transport documents covering the despatch of goods by rail or by road are known as 'rail consignment notes' or 'road consignment notes', respectively. Road consignment notes are also known as 'truck waybills' or 'Convention Merchandises Routiers (CMR) notes' (after the 1956 United Nations Convention on the Contract for the International Carriage of Goods by Road).

These documents provide evidence that the carrier has received the goods and of the address of the consignee.

12.3.6.1 Title, negotiability and transfer

Road, rail or inland waterway transport documents are not documents of title and are not negotiable documents. The exception is when an inland waterway transport document is issued in the form of a bill of lading – that is, to order of a named entity, or 'to order' or 'to order of the shipper'.

12.3.6.2 Control of goods

The control over the goods remains in the care of the carrier.

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12.3.6.3 Delivery of goods

Delivery is to the named consignee at the address shown on the document or, in the case of an inland waterway transport document issued in the form of a bill of lading as indicated in section 12.3.6.1, by the surrender of an original inland waterway transport document.

12.3.7 Courier receipts, post receipts or certificates of posting

A courier receipt, post receipt or certificate of posting serves as evidence that the goods have been received by a courier service or post office for delivery, and show the name and address of the consignee.

12.3.7.1 Title, negotiability and transfer

These are not documents of title and are not negotiable documents.

12.3.7.2 Control of goods

The control over the goods remains in the care of the courier company or postal authority.

12.3.7.3 Delivery of goods

Delivery is to the named addressee.

12.4 Common characteristics

There are some characteristics common to all types of transport document that need to be understood when they are prepared for presentation under a documentary credit.

The following sections refer heavily to ISBP 745 – that is, the *International Standard Banking Practice for the Examination of Documents under UCP 600* – the contents of which provide significant guidance as to how each described document should be created in order to comply under a documentary credit.

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12.4.1 Consignor or shipper and consignee

All types of transport document will include boxes, spaces or fields that are to be populated with the names of the consignor or shipper (the party arranging for shipment of the goods) and the consignee (the party receiving or controlling delivery of the goods). Under a documentary credit, the consignor or shipper is usually the beneficiary. This is not an absolute requirement, because any party can be named as consignor or shipper unless the documentary credit states otherwise.

The consignee may be a named entity, in which case the document may be referred to as being 'straight consigned'. If the transport document is issued in negotiable form, it is to show that goods have been consigned to order of a named entity, 'to order' or 'to order of shipper'. If the transport document is consigned 'to order' or 'to order of shipper', it will need endorsement by the consignor or shipper in blank for it to be negotiable and available for transfer of title, or it is to be endorsed to order of a named entity (as stated in the documentary credit).

The consignee requirements for each transport document are as follows.

12.4.1.1 For multimodal transport documents

ISBP 745, paragraph D16, provides as follows.

> When a credit requires a multimodal transport document to evidence that goods are consigned to a named entity, for example, "consigned to (named entity)" (i.e., a "straight" multimodal transport document or consignment) rather than "to order" or "to order of (named entity)", it is not to contain the expressions "to order" or "to order of" preceding the named entity, or the expression "or order" following the named entity, whether typed or pre-printed.

ISBP 745, paragraph D17, reads as follows.

> a. When a multimodal transport document is issued "to order" or "to order of the shipper", it is to be endorsed by the shipper. An endorsement may be made by a named entity other than the shipper, provided the endorsement is made for [or on behalf of] the shipper.
>
> b. When a credit requires a multimodal transport document to evidence that goods are consigned "to order of (named entity)", it is not to indicate that the goods are straight consigned to that named entity.

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12.4.1.2 For bills of lading

ISBP 745, paragraph E12, provides as follows.

> When a credit requires a bill of lading to evidence that goods are consigned to a named entity, for example, "consigned to (named entity)" (i.e., a "straight" bill of lading or consignment) rather than "to order" or "to order of (named entity)", it is not to contain the expressions "to order" or "to order of" preceding the named entity, or the expression "or order" following the named entity, whether typed or pre-printed.

ISBP 745, paragraph E13, reads as follows.

> a. When a bill of lading is issued "to order" or "to order of the shipper", it is to be endorsed by the shipper. An endorsement may be made by a named entity other than the shipper, provided the endorsement is made for [or on behalf of] the shipper.
>
> b. When a credit requires a bill of lading to evidence that goods are consigned "to order of (named entity)", it is not to indicate that the goods are straight consigned to that named entity.

12.4.1.3 For non-negotiable sea waybills

ISBP 745, paragraph F11, provides as follows.

> a. When a credit requires a non-negotiable sea waybill to evidence that goods are consigned to a named entity, for example, "consigned to (named entity)", it is not to contain the expressions "to order" or "to order of" preceding the named entity, or the expression "or order" following the named entity, whether typed or pre-printed.
>
> b. When a credit requires a non-negotiable sea waybill to evidence that goods are consigned "to order of (named entity)", it may indicate that the goods are consigned to that entity, without mentioning "to order of".
>
> c. When a credit requires a non-negotiable sea waybill to evidence that goods are consigned "to order" without naming the entity to whose order the goods are to be consigned, it is to indicate that the goods are consigned to either the issuing bank or the applicant, without the need to mention the words "to order".

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12.4.1.4 For charter party bills of lading

ISBP 745, paragraph G11, provides as follows.

> When a credit requires a charter party bill of lading to evidence that goods are consigned to a named entity, for example, "consigned to (named entity)" (i.e., a "straight" charter party bill of lading or consignment) rather than "to order" or "to order of (named entity)", it is not to contain the expressions "to order" or "to order of" preceding the named entity or the expression "or order" following the named entity, whether typed or pre-printed.

ISBP 745, paragraph G12, reads as follows.

> a. When a charter party bill of lading is issued "to order" or "to order of the shipper", it is to be endorsed by the shipper. An endorsement may be made by a named entity other than the shipper, provided the endorsement is made for [or on behalf of] the shipper.
>
> b. When a credit requires a charter party bill of lading to evidence that goods are consigned "to order of (named entity)", it is not to indicate that the goods are straight consigned to that named entity.

12.4.1.5 For air transport documents

ISBP 745, paragraph H13, provides as follows.

> a. When a credit requires an air transport document to evidence that goods are consigned "to order of (named entity)", it may indicate that the goods are consigned to that entity, without mentioning "to order of".
>
> b. When a credit requires an air transport document to evidence that goods are consigned "to order" without naming the entity to whose order the goods are to be consigned, it is to indicate that the goods are consigned to either the issuing bank or the applicant, without the need to mention the words "to order".

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12.4.1.6 For road, rail or inland waterway transport documents

ISBP 745, paragraph J8, provides as follows.

> a. When a credit requires a road or rail transport document to evidence that goods are consigned "to order of (named entity)", it may indicate that the goods are consigned to that entity, without mentioning "to order of".
>
> b. When a credit requires a road or rail transport document to evidence that goods are consigned "to order" without naming the entity to whose order the goods are to be consigned, it is to indicate that the goods are consigned either to the issuing bank or the applicant, without the need to mention the words "to order".
>
> c. When a credit requires an inland waterway transport document, paragraphs J8) (a) and (b) will apply except when the document is issued in the form of a bill of lading. In such event, the consignee field is to be completed according to the requirements of the credit.

12.4.2 Notify party

Most types of transport document will make provision for a 'notify party' to be inserted. A 'notify party' is a party that is to be advised by the carrier, or its agent, upon arrival of goods at the named destination. The notify party will usually be the applicant, its clearing agent or the issuing bank. A documentary credit may or may not require the transport document to indicate a named notify party or parties. If it does not, ISBP 745, paragraphs D18(b)(i) and (ii), E14(b)(i) and (ii), F12(b)(i) and (ii), G13(b)(i) and (ii), H14(b)(i) and (ii), and J9(b)(i) and (ii) all provide similar guidance for the different types of transport document to which they relate.

As an example, the following is the text that relates to multimodal transport documents, which appears at **ISBP 745, paragraph D18(b)(i) and (ii)**.

> b. i. When a credit does not stipulate the details of a notify party, a multimodal transport document may indicate the details of any notify party and in any manner (except as stated in paragraph D18) (b) (ii)).
>
> ii. When a credit does not stipulate the details of a notify party, but the details of the applicant appear as notify party on a multimodal transport document, and these details include the applicant's address and contact details, they are not to conflict with those stated in the credit.

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It should be noted that whenever the applicant's address and contact details appear as part of the notify party details, whether requested in the documentary credit or not, the details must not be in conflict with those stated in the documentary credit.

12.4.3 Corrections/alterations to data content

Ideally, documents should be presented with no corrections or alterations to their data content. If corrections or alterations have been made or are required to documents not issued by the beneficiary, the beneficiary should consider the possibility of obtaining replacements prior to their presentation in order to minimise the risk of potential disputes arising or to ensure that the proper authentication has been made.

At this point, it should be noted that corrections and alterations to documents issued by the beneficiary do not require authentication, with the exception of circumstances described in ISBP 745, paragraph A7(a)(ii).

ISBP 745, paragraph A7, provides a general application for a document examiner.

a. i. Any correction of data in a document issued by the beneficiary, with the exception of drafts (see paragraph B16), need not be authenticated.

ii. When a document issued by the beneficiary has been legalized, visaed, certified, etc., any correction of data is to be authenticated by at least one of the entities that legalized, visaed or certified, etc., the document. Such authentication is to indicate the name of the entity authenticating the correction either by use of a stamp incorporating its name, or by the addition of the name of the authenticating entity accompanied by its signature or initials.

b. i. Any correction of data in a document, other than in a document issued by the beneficiary, is to appear to have been authenticated by the issuer or an entity acting as agent, proxy or for [or on behalf of] the issuer. Such authentication is to indicate the name of the entity authenticating the correction either by use of a stamp incorporating its name, or by the addition of the name of the authenticating entity accompanied by its signature or initials. In the case of authentication by an agent or proxy, the capacity of acting as agent or proxy for [or on behalf of] the issuer is to be stated.

ii. When a document other than one issued by the beneficiary has been legalized, visaed, certified, etc., any correction of data is, in addition to the requirements of paragraph A7) (b) (i), to be authenticated by at least one of the entities that

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> legalized, visaed or certified, etc., the document. Such authentication is to indicate the name of the entity authenticating the correction either by use of a stamp incorporating its name, or by the addition of the name of the authenticating entity accompanied by its signature or initials.
>
> c. Any correction of data in a copy document need not be authenticated.

In addition, ISBP 745, paragraphs D28 and D29, E24 and E25, F22 and F23, G22 and G23, H23 and H24, and J18 and J19, all provide the authentication requirements for the type of transport document to which they relate.

As an example, the following is the text relating to multimodal transport documents, which is found at **ISBP 745, paragraphs D28 and D29**.

> D28) Any correction of data on a multimodal transport document is to be authenticated. Such authentication is to appear to have been made by the carrier, master (captain) or any one of their named agents, who may be different from the agent that may have issued or signed a multimodal transport document, provided they are identified as an agent of the carrier or master (captain).
>
> D29) Non-negotiable copies of a multimodal transport document need not include authentication of any corrections that may have been made on the original.

12.4.4 Signing requirements

Detailed examination of the different signing requirements for each type of transport document under the respective UCP 600, articles 19–25, is undertaken in Chapter 14. Although it is important that a transport document has been signed in the prescribed manner, this does not mean that every space, box or field shown on a transport document (as requiring a signature) needs to be populated. This position is indicated in **ISBP 745, paragraph A37**.

> The fact that a document has a box, field or space for a signature does not in itself mean that such box, field or space is to be completed with a signature. For example, a signature is not required in the space titled "Signature of shipper or their agent" commonly found on an air waybill or "Signature of shipper" on a road transport document. Also see paragraph A17 in respect of the requirements for data to appear in a box, field or space.

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12.4.5 Shipping marks

ISBP 745, paragraphs A32–A34, provide detail on the purpose and use of shipping marks, and specify the ways in which a document may indicate those marks.

> A32) When a credit specifies the details of a shipping mark, documents mentioning the shipping mark are to show those details. The data in a shipping mark indicated on a document need not be in the same sequence as those shown in the credit or in any other stipulated document.
>
> A33) A shipping mark indicated on a document may show data in excess of what would normally be considered a "shipping mark", or which is specified in the credit as a "shipping mark", by the addition of information such as, but not limited to, the type of goods, warnings concerning the handling of fragile goods or net and gross weight of the goods.
>
> A34) a. Transport documents covering containerized goods often only show a container number, with or without a seal number, under the heading "Shipping mark" or similar. Other documents that show a more detailed marking will not be in conflict for that reason.
>
> b. The fact that some documents show additional information as mentioned in paragraphs A33 and A34 (a), while others do not, will not be regarded as a conflict of data under UCP 600 sub-article 14 (d).

12.4.6 Goods covered by more than one transport document

Possession of, for example, a full set of negotiable bills of lading is required to ensure that title to the goods and delivery rights are secured. If the goods loaded into a container or other packing unit are subject to the presentation of more than one set of bills of lading, presentation of all associated sets of bills of lading may be required for the goods to be released to the respective consignees.

Consider the presentation under a documentary credit of a bill of lading that specifically indicates that goods covered by that bill of lading will be released only when other (numbered) bills of lading are presented to the carrier or its agent for delivery. The document will not be accepted unless all of the other bills of lading referred to accompany the same presentation under the same documentary credit.

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ISBP 745, paragraphs D32, E28 and G26 provide similar wording to cover this eventuality for multimodal transport documents, bills of lading and charter party bills of lading, respectively.

As an example, the following is the text relating to multimodal transport documents, which appears at **ISBP 745, paragraph D32**.

> A multimodal transport document is not to expressly state that goods covered by that multimodal transport document will only be released upon its surrender together with one or more other multimodal transport documents, unless all of the referenced multimodal transport documents form part of the same presentation under the same credit.
>
> For example, "Container XXXX is covered by B/L No. YYY and ZZZ, and can only be released to a single merchant upon presentation of all multimodal transport documents of that merchant" is considered to be an express statement that one or more other multimodal transport documents, related to the referenced container or packing unit, must be surrendered prior to the goods being released.

12.4.7 Transport documents issued by freight forwarders

It should be noted that ISBP 745 contains details of practices when a documentary credit indicates that freight forwarder transport documents are allowed or not allowed.

For example, **ISBP 745, paragraph D3(b)**, states as follows (in relation to multimodal transport documents, where the credit indicates that such documents are acceptable).

> b. When a credit indicates "Freight Forwarder's Multimodal Transport Document is acceptable" or "House Multimodal Transport Document is acceptable" or words of similar effect, a multimodal transport document may be signed by the issuing entity without it being necessary to indicate the capacity in which it has been signed or the name of the carrier.

Similar paragraphs exist for bills of lading (ISBP 745, paragraph E3(b)), non-negotiable sea waybills (ISBP 745, paragraph F2(b)) and air transport documents (ISBP 745, paragraph H3(b)).

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ISBP 745, paragraph D4, provides as follows (in relation to multimodal transport documents where the credit indicates that such documents are not acceptable).

> A stipulation in a credit that "Freight Forwarder's Multimodal Transport Documents are not acceptable" or "House Multimodal Transport Documents are not acceptable" or words of similar effect has no meaning in the context of the title, format, content or signing of a multimodal transport document unless the credit provides specific requirements detailing how the multimodal transport document is to be issued and signed. In the absence of these requirements, such a stipulation is to be disregarded, and the multimodal transport document presented is to be examined according to the requirements of UCP 600 article 19.

Similar paragraphs exist for bills of lading (ISBP 745, paragraph E4), non-negotiable sea waybills (ISBP 745, paragraph F3) and air transport documents (ISBP 745, paragraph H4).

12.4.8 The format and content of a multimodal transport document

Figure 12.2 on page 182 provides an example of a form of multimodal transport document. The layout for this document is very similar to that which would be seen for a bill of lading or non-negotiable sea waybill.

A description of the type of information that is to appear in each field is given, together with an indication of the relevant UCP 600 articles and ISBP 745 paragraphs.

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Figure 12.2 Annotated example of a multimodal transport document

Shipper (Complete name, address and phone number) 1			**Bill of Lading For Combined Transport or Port-to-Port Shipment** 4 **B/L No.:** **Booking Ref:** **Shipper's Ref:** **CDCS Line** **Anytown, Anywhere**	
Consignee (Not negotiable unless consigned to order) 2				
Notify party (Carrier not to be responsible for failure to notify) 3				
Pre-carriage by* 5	Place of receipt* 5			
Vessel Voy. No. 5	Port of loading 5			
Port of discharge 5	Place of delivery* 5		*Applicable only when this document is used as a Combined Transport Bill of Lading	
Marks and Nos. Container Nos./Seals 6	No. of packages 7	Description of packages and goods 8 **ABOVE PARTICULARS DECLARED BY SHIPPER: CARRIER NOT RESPONSIBLE**	Gross weight (kg) 9 Net Weight	Measure-ment (cbm) 10
Freight and charges (indicate whether prepaid or collect) Origin Inland Haulage charges …….. Origin terminal Handling/ LCL Service charges …….. Ocean Freight 11 Destination Terminal Handling/ LCL Service charges …….. Destination Inland haulage charges……...			14 RECEIVED by the Carrier from the shipper in apparent good order and condition (unless otherwise noted herein) the total numbers or quantity of Containers or other packages or units indicated above stated by the shipper to comprise the cargo specified above, for transportation subject to all the terms hereof (including the terms on the reverse hereof) from the place of receipt or the port of loading, whichever applicable, to the port of discharge or the place of delivery, whichever applicable. Delivery of the Goods will only be made on payment of all freight and charges. On presentation of this document (duly endorsed) to the Carrier, by or on behalf of the holder, the rights and liabilities arising in accordance with the terms hereof shall (without prejudice to any rule of common law or statute rendering them binding upon the shipper, holder and Carrier) become binding in all respects between the carrier and holder as though the contract contained herein or evidenced hereby had been made between them. In witness whereof three (3) original Bills of Lading unless otherwise stated below have been issued, one of which being accomplished, the others to be void. Freight, charges and primage whether prepayable or not and whether paid or not shall be considered as fully earned upon shipment and shall be paid vessel and/or cargo lost or not lost.(CONTINUED ON REVERSE SIDE)	
Declared value by shipper (see clause 5.C.4 and tariff)	Freight payable at 13		Place and date of issue 15	
Number of original Bs/L 12			Signed By: 16	

Source: Author, 2015

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Notes to Figure 12.2

Multimodal transport document (MMTD) content and additional references

1. The shipper details are often those of the beneficiary, but could be any entity (UCP 600, sub-article 14(k)).
2. The consignee details are to be as specified in the documentary credit. Expressions 'to order' or 'to order of' preceding the named entity, or the expression 'or order' following the named entity, whether typed or pre-printed, are not to be included when a documentary credit requires a MMTD to evidence that goods are (straight) consigned to a named entity (ISBP 745, paragraphs D16–D17 and D19–D20).

. When a documentary credit includes a requirement that an MMTD is to evidence goods consigned to or to the order of 'issuing bank' or 'applicant', or notify 'applicant' or 'issuing bank', then it is to state the name of the issuing bank or applicant, as applicable, but need not state their respective addresses or any contact details that may be included in the documentary credit (ISBP 745, paragraph D19)

3. When a documentary credit includes the requirements or details for one or more notify parties, details of one or more additional notify parties can also be included on an MMTD. In the event that a documentary credit does not provide details of any notify party, an MMTD may indicate the details of any notify party and in any manner. The exception to this is when a documentary credit does not stipulate the details of a notify party, but the details of the applicant appear as notify party on an MMTD. If these details include the applicant's address and contact details, they are not to conflict with those stated in the documentary credit. (ISBP 745, paragraph D18).
4. UCP 600, article 19, allows the document to be 'however named' and must indicate the name of the carrier. The name of the carrier can be shown anywhere on the document (UCP 600, sub-article 19(a), and ISBP 745, paragraphs D1–D3).
5. Provides routing information, including any means of pre-carriage, place of receipt, port of loading, port of discharge or place of delivery, all of which should comply with those stated in the documentary credit, and vessel name. The place of receipt or place of delivery may or may not be the same as the ports of loading or discharge (UCP 600, sub-article 19(a)(iii), and ISBP 745, paragraphs D8–D10 and D12–D14).
6. Provides information on shipping marks and container numbers, as applicable (ISBP 745, paragraphs A32–A34).
7. Provides information on the number of packages and, while not mandatory, if completed must not conflict with data in any other stipulated document required by the documentary credit (UCP 600, sub-article 14(d)).
8. Bears a description of the goods in general terms, not conflicting with the description of goods in the documentary credit (UCP 600, sub-article 14(e), and ISBP 745, paragraph D26).
9. Details of the gross and net weights are not to conflict with similar details on other stipulated documents (UCP 600, sub-article 14(d)).
10. Details of the measurement, if any, are not to conflict with similar details on other stipulated documents (UCP 600, sub-article 14(d)).
11. To indicate whether freight is prepaid or payable at destination (freight collect) (ISBP 745, paragraphs D30–D31).
12. Must indicate the number of originals that have been issued and all originals are to be presented unless the documentary credit provides otherwise (UCP 600, sub-article 19(a)(iv), and ISBP 745, paragraph D15).
13. To indicate whether freight is prepaid or payable at destination (freight collect) (ISBP 745, paragraphs D30–D31).
14. Indication that the goods have been received for shipment by the carrier, but note that contents of terms and conditions of carriage are not examined under a credit (UCP 600, sub-article 19(a)(ii)).
15. Indicates the place and date of issue of the MMTD (UCP 600, sub-article 19(a)(ii), and ISBP 745, paragraph D6).
16. Signed by the carrier or master or a named agent of either entity (UCP 600, sub-article 19(a)(i), and ISBP 745, paragraph D5).

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12.4.9 A summary of the characteristics of key transport documents

Name	Characteristics
Multimodal transport document (UCP 600, article 19)	Document covers two or more modes of transport: ◆ delivery against original multimodal transport document, if negotiable ◆ delivery to consignee against identification, if non-negotiable
Bill of lading (UCP 600, article 20)	◆ Often a negotiable document covering a port-to-port shipment ◆ Grants title to goods in most cases ◆ Delivery against an original bill of lading when issued 'to order', 'to order of shipper' or to order of a named entity ◆ Delivery to consignee against identification if non-negotiable
Non-negotiable sea waybill (UCP 600, article 21)	◆ Non-negotiable document covering port-to-port shipment ◆ Does not grant title to goods ◆ Delivery to named consignee
Charter party bill of lading (UCP 600, article 22)	◆ Negotiability subject to charter party ◆ Title to goods subject to charter party ◆ Delivery in terms of charter party
Air transport document (UCP 600, article 23)	◆ Non-negotiable document covering single mode ◆ Does not grant title to goods ◆ Delivery to named consignee

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Name	Characteristics
Road, rail or inland waterway transport document (UCP 600, article 24)	◆ Non-negotiable document covering single mode ◆ Does not grant title to goods, except possibly inland waterway ◆ Delivery to named consignee or possibly against original inland waterway transport document
Courier receipt, post receipt, or certificate of posting (UCP 600, article 25)	◆ Non-negotiable document covering dispatch by post or courier ◆ Does not grant title to goods ◆ Delivery to named addressee

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12.4.10 Common discrepancies in respect of transport documents

The most common discrepancies identified during examination include:

- late shipment;
- late presentation;
- the ports of loading / dispatch / taking in charge differ from those specified in the documentary credit;
- the ports of discharge / final destination differ from those specified in the documentary credit;
- the transport document shows an intended vessel / intended port of loading, but an on board notation does not additionally evidence the named vessel or actual port of loading;
- transhipment has been effected when the documentary credit specifically prohibits it and excludes UCP 600, sub-articles 20(c)(ii), 21(c)(ii), 23(c)(ii) or 24(e)(ii);
- an on board notation is absent from the bill of lading;
- the on board notation is not dated;
- the goods were shipped on deck;
- the full set of transport documents have not been presented, as required by the documentary credit;
- claused bills of lading have been presented, showing a defective condition of the packages or goods;
- the transport documents do not identify the name of the carrier;
- the documents are not signed in accordance with the respective article of UCP 600;
- the bills of lading are made out to order of shipper, or to order, and not endorsed in blank;

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- the data content is otherwise in conflict with that shown on other stipulated documents;
- there has been an unauthenticated alteration to the transport document;
- the goods are covered by more than one set of transport documents; and / or
- the notify party details are incorrectly shown.

Other discrepancies might naturally arise, depending on the terms and conditions of the documentary credit and the documents presented.

12.5 Preparing other documents

As well as transport documents, a documentary credit will require the presentation of other documents. These are outlined below and examined in more detail in Chapters 13 and 15.

12.5.1 Insurance documents

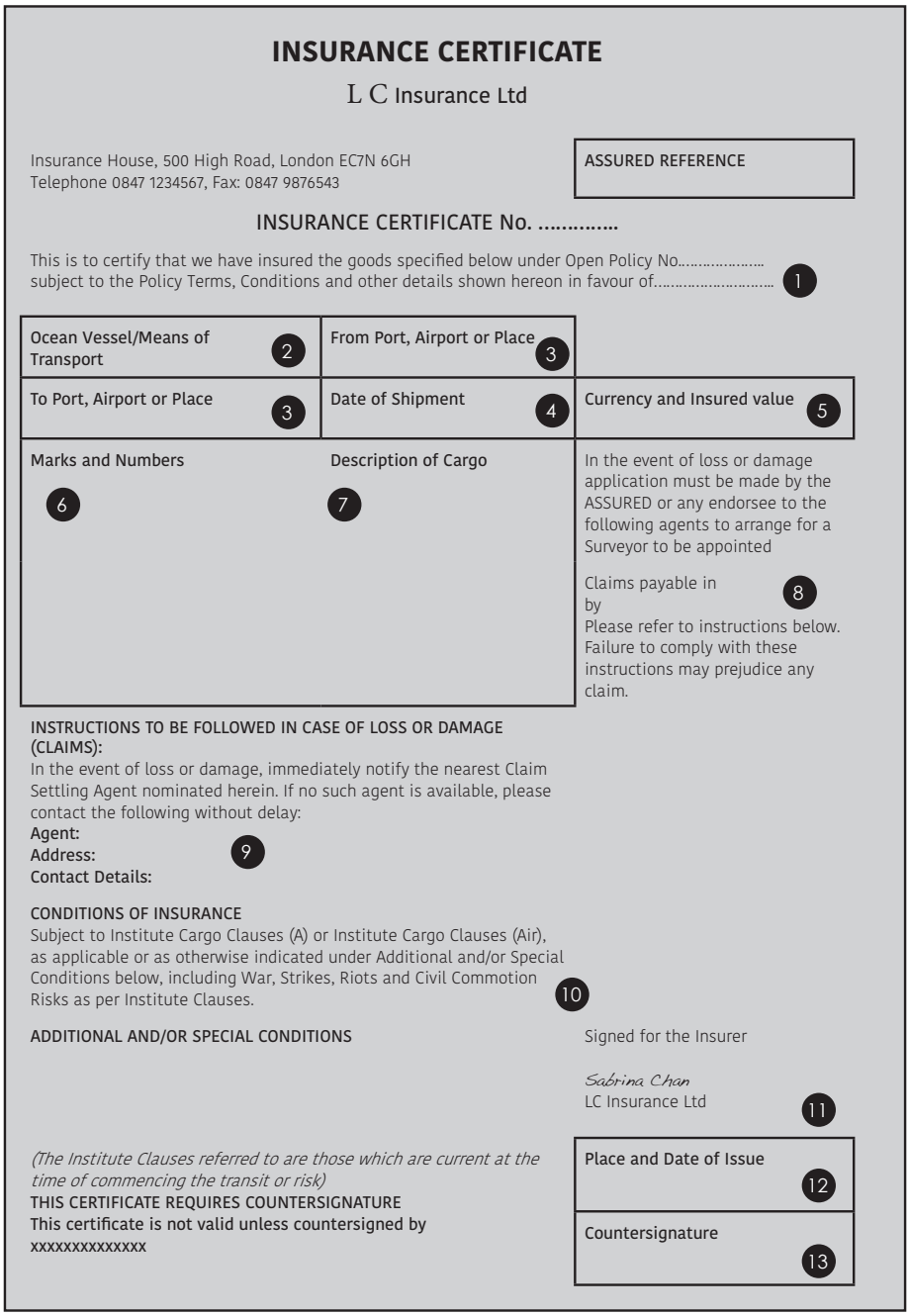
The decision as to whether the beneficiary or applicant pays for and arranges the insurance of goods depends upon a number of factors. Most are beyond the scope of this text. If, however, the sale contract evidences that goods are sold either on a 'cost, insurance and freight' (CIF) basis or on a 'carriage and insurance paid to' (CIP) basis, an insurance document should be shown as a required document in the documentary credit. This document is detailed under UCP 600, article 28 ('Insurance Document and Coverage').

Insurance document requirements vary not only from issuing bank to issuing bank, depending upon the internal guidelines of each, and from industry to industry, but also from country to country, to comply with export and import regulations. The aim of the documentary credit requirement should be to provide at least basic cover in respect of the goods.

Figure 12.3 provides an example of a form of insurance document. A description of the type of information that is to appear in each field is given, together with an indication of the relevant UCP 600 articles and ISBP 745 paragraphs.

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Figure 12.3 Annotated example of an insurance document



INSURANCE CERTIFICATE

L C Insurance Ltd

Insurance House, 500 High Road, London EC7N 6GH
Telephone 0847 1234567, Fax: 0847 9876543

ASSURED REFERENCE

INSURANCE CERTIFICATE No. .....

This is to certify that we have insured the goods specified below under Open Policy No..... subject to the Policy Terms, Conditions and other details shown hereon in favour of..... 1

Ocean Vessel/Means of Transport 2	From Port, Airport or Place 3	
To Port, Airport or Place 3	Date of Shipment 4	Currency and Insured value 5
Marks and Numbers 6	Description of Cargo 7	In the event of loss or damage application must be made by the ASSURED or any endorsee to the following agents to arrange for a Surveyor to be appointed Claims payable in 8 by Please refer to instructions below. Failure to comply with these instructions may prejudice any claim.

INSTRUCTIONS TO BE FOLLOWED IN CASE OF LOSS OR DAMAGE (CLAIMS):
In the event of loss or damage, immediately notify the nearest Claim Settling Agent nominated herein. If no such agent is available, please contact the following without delay:
Agent:
Address: 9
Contact Details:

CONDITIONS OF INSURANCE
Subject to Institute Cargo Clauses (A) or Institute Cargo Clauses (Air), as applicable or as otherwise indicated under Additional and/or Special Conditions below, including War, Strikes, Riots and Civil Commotion Risks as per Institute Clauses. 10

ADDITIONAL AND/OR SPECIAL CONDITIONS

Signed for the Insurer

Sabrina Chan
LC Insurance Ltd 11

(The Institute Clauses referred to are those which are current at the time of commencing the transit or risk)
THIS CERTIFICATE REQUIRES COUNTERSIGNATURE
This certificate is not valid unless countersigned by
xxxxxxxxxxxxx

Place and Date of Issue 12

Countersignature 13

Source: Author, 2015

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Notes to Figure 12.3

Insurance document content and additional references

1. The name of the assured party (ISBP 745, paragraphs K19–K21).
2. Transport details, not mandatory, but when such data is shown, it must not conflict with the same data appearing on other documents, especially the transport documents, or the documentary credit (UCP 600, sub-article 14(d)).
3. Routing details, must not conflict with the same data appearing on other documents, especially the transport documents, or the documentary credit (UCP 600, sub-article 14(d)) and comply with UCP 600, sub-article 28(f)(iii).
4. If the date of shipment is shown, it must not conflict with the same data appearing on other documents, especially the transport documents, or the documentary credit (UCP 600, sub-article 14(d)).
5. The amount is as required by the credit, in the currency of the documentary credit, and for at least 110% of the CIF or CIP value of the goods (UCP 600, sub-article 28(f) and ISBP 745, paragraphs K12–K16).
6. The shipping marks or container numbers, if shown, should not conflict with those appearing on the transport document or as may be stated in the documentary credit (ISBP 745, paragraphs A32–A34).
7. Description of goods not conflicting with the documentary credit (UCP 600, sub-article 14(e)).
8. Indicates details of where claims are payable and by which entity.
9. Provides contact details of the agent.
10. Provides details of risk coverage (UCP 600, sub-article 28(g) and ISBP 745, paragraphs K17–K18).
11. Signed by an insurance company or underwriter or their agent or proxy (UCP 600, sub-article 28(a) and ISBP 745, paragraphs K2–K7).
12. Dated no later than the date of shipment unless the document indicates that coverage is effective from a date no later than the date of shipment (ISBP 745, paragraphs K10–K11).
13. Countersigned, if required, by the issuer, the assured or a named entity (ISBP 745, paragraph K5).

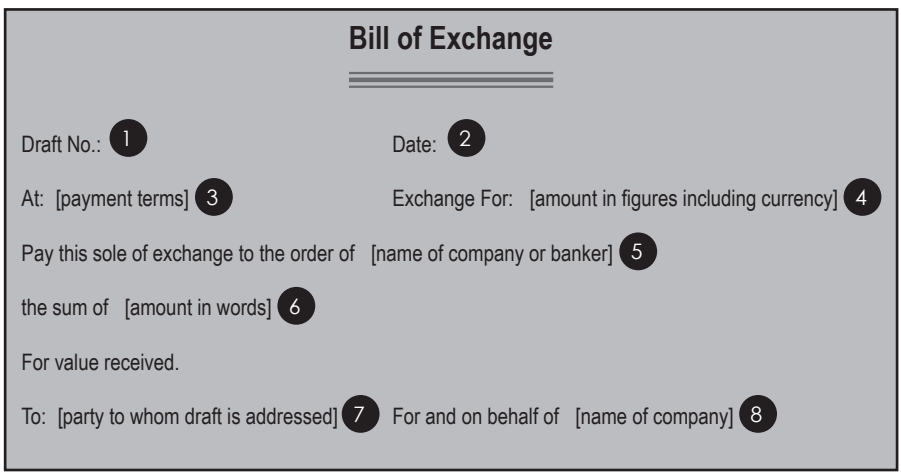
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12.5.2 Financial documents

Financial documents are legal documents that provide evidence of claims for amounts owed, such as a draft (bill of exchange) and promissory notes.

Figure 12.4 provides an example of a form of draft (bill of exchange). A description of the type of information that is to appear in each field is given, together with an indication of the relevant ISBP 745 paragraphs.

Figure 12.4 Annotated example of a draft (bill of exchange)



Source: Author, 2015

Notes to Figure 12.4

Draft content and additional references

1. Unique reference number allocated to the draft by the beneficiary (optional).
2. Date on which the draft is drawn (ISBP 745, paragraph B8).
3. Tenor shown in accordance with the terms of the documentary credit. The maturity date must be capable of being determined from the face of the draft, for example '60 days after date of shipment (BL dated 10 November 20XX)' and not '60 days after date of shipment' (ISBP 745, paragraphs B2–B6).
4. Amount demanded under the presentation in figures, with amount in words and figures not to conflict (ISBP 745, paragraphs B13–B14).
5. Unless the beneficiary requests a bank to finance the draft and the bank requires it to be drawn to its order, this area will be completed with 'ourselves' or the name of the beneficiary, in which case the beneficiary should endorse the reverse in blank.
6. Amount demanded under the presentation in words, with amount in words and figures not to conflict (ISBP 745, paragraphs B13–B14).
7. The party on whom the draft is to be drawn – normally the issuing bank, the confirming bank or the nominated bank, which will be indicated in the documentary credit (ISBP 745, paragraphs B1 and B9–B12). Drafts should not be drawn on the applicant (ISBP 745, paragraph B18).
8. Signed for [or on behalf of] the beneficiary (ISBP 745, paragraph B8).

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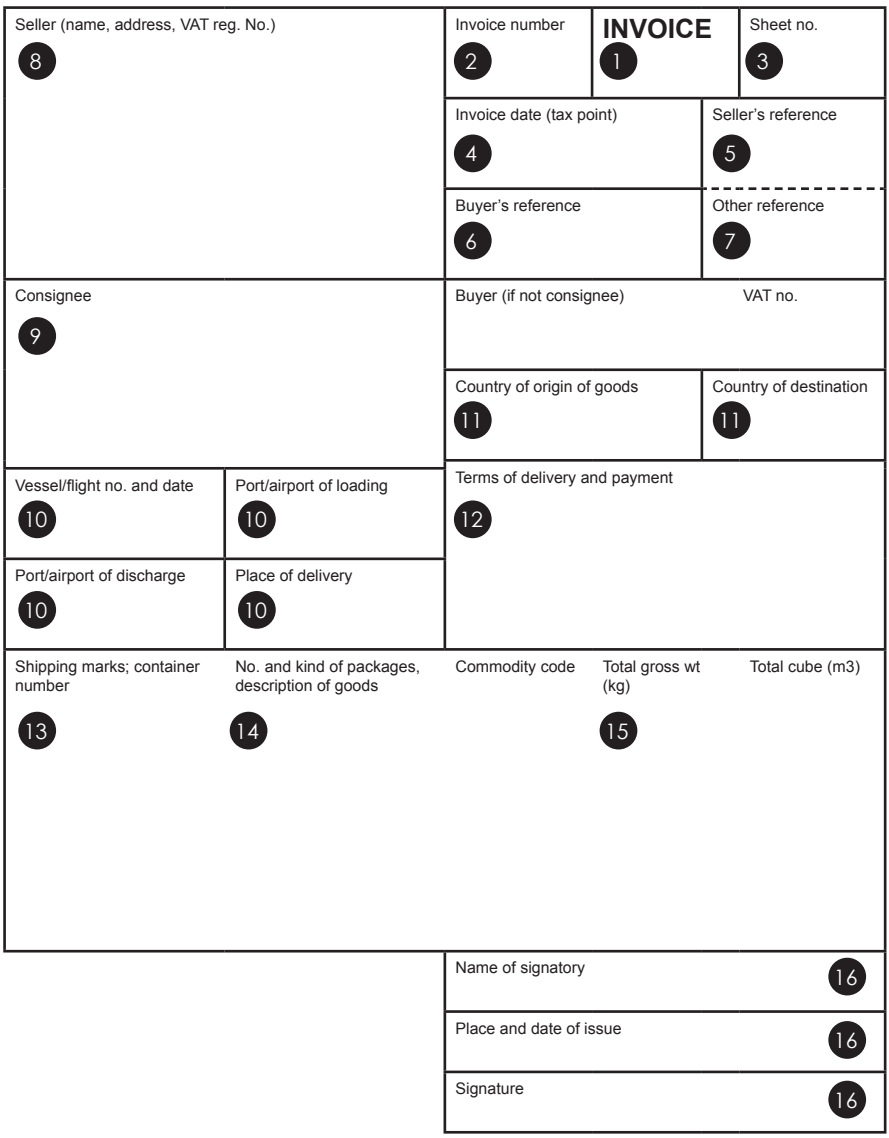
12.5.3 Commercial documents

Commercial documents include invoices, certificates (of weight, inspection and of analysis, etc), and packing and weight lists.

Figure 12.5 (overleaf) provides an example of a form of invoice. It should be noted that the invoice used is quite detailed and an invoice need not have the level of detail that is shown. A description of the type of information that is to appear in each field is given, together with an indication of the relevant UCP 600 articles and ISBP 745 paragraphs.

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Figure 12.5 Annotated example of an invoice



Source: Author, 2015

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Notes to Figure 12.5

Invoice content and additional references

1. The title of the document should be as shown in the credit or may be abbreviated to 'Invoice'. It should not be titled 'provisional', 'proforma' or similar unless required by the documentary credit (ISBP 745, paragraph C1).
2. Unique reference number allocated to the invoice.
3. Should be completed if there is more than one page to the invoice, for example '1 / 2', '2 / 2' (ISBP 745, paragraph A24).
4. Date of issue, which is optional, but usually stated (ISBP 745, paragraph C10).
5. Any reference other than the invoice number that may be relevant. This is optional.
6. Any reference of the applicant (buyer), which may be the contract or proforma number stated in the documentary credit, if not stated elsewhere on the invoice. This is optional.
7. Any other reference that may be relevant to the transaction. This is optional.
8. Beneficiary's name and address. For other forms of invoice, this will be accounted for by the use of the beneficiary's letterhead (UCP 600, sub-article 18(a)(i), and ISBP 745, paragraph C2).
9. Name and address of the applicant, unless otherwise required by the documentary credit. On other forms of invoice, this will be accounted for by a simple reference to 'To', followed by the name, or name and address of the applicant (UCP 600, sub-article 18(a)(ii)).
10. Routing details, not mandatory, but when such data is shown, it must not conflict with the same data appearing on other documents, especially the transport documents or the documentary credit (UCP 600, sub-article 14(d)).
11. Additional data, not mandatory, but when such data is shown, it must not conflict with the same data appearing on other documents or as may be stated in the documentary credit (UCP 600, sub-article 14(d)).
12. Usually includes reference to the applicable Incoterm and documentary credit reference etc, but is not mandatory. The Incoterm could also be stated against the amount of the invoice.
13. The shipping marks or container numbers should not conflict with those shown on the transport document or as may be stated in the documentary credit (ISBP 745, paragraphs A32–A34).
14. Description of goods that corresponds with that shown in the documentary credit and an indication of the amount that is due. If the description in the documentary credit includes the Incoterm, then this should be quoted here (UCP 600, sub-article 18(c), and ISBP 745, paragraphs C3–C5).
15. Weight and measurement details, not mandatory, but when such data is shown, it must not conflict with the same data appearing on other documents (UCP 600, sub-article 14(d)).
16. Signed and dated, but only if required by the documentary credit (UCP 600, sub-article 18(a)(iv), and ISBP 745, paragraph C10).

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12.5.4 Official documents

Official documents allow a party to the sale contract to satisfy regulatory requirements. An applicant may need an official document to satisfy import regulations or health regulations. A beneficiary may need an official document to satisfy export control authorities.

Figure 12.6 provides an example of a form of certificate of origin. This particular layout relates to a certificate of origin in a case in which a documentary credit requires it to be issued by a chamber of commerce. A description of the type of information that is to appear in each field is given, together with an indication of the relevant UCP 600 articles and ISBP 745 paragraphs.

Figure 12.6 Annotated example of a certificate of origin

1 Consignor	No.	ORIGINAL
2 Consignee	CERTIFICATE OF ORIGIN	
	3 Country of origin	
4 Transport details (Optional)	5 Remarks	
6 Item number; marks; numbers and kind of packages; description of goods		7 Quantity
8 THE UNDERSIGNED AUTHORITY CERTIFIES THAT THE GOODS DESCRIBED ABOVE ORIGINATE IN THE COUNTRY SHOWN IN BOX 3 ANYWHERE CHAMBER OF COMMERCE Place and date of issue, name, signature and stamp of competent authority ..... 20 .... Anywhere Chamber of Commerce		

Source: Author, 2015

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Notes to Figure 12.6

Certificate of origin content and additional references

1. Issued by the entity stated in the documentary credit, if any (ISBP 745, paragraph L3).
2. Not to conflict with the consignee information in the transport document. However, this is subject to the allowances made in ISBP 745, paragraph L5.
3. The country of origin of the goods.
4. Routing details, not mandatory, but when such data is shown, it must not conflict with the same data appearing on other documents, especially the transport documents, or the documentary credit (UCP 600, sub-article 14(d)).
5. Optional additional information, not to conflict if stated elsewhere in other documents (UCP 600, sub-article 14(d)).
6. Generic description not to conflict with other documents (UCP 600, sub-article 14(e) and ISBP 745, paragraph L4). Container number or shipping marks etc. to be the same as that shown on the transport document. Number of boxes within the container, if stated, to be the same number as shown on other documents (UCP 600, sub-article 14(d)). The shipping marks, if stated, should not conflict with those stated in the documentary credit (ISBP 745, paragraphs A32–A34).
7. If completed, data not to conflict with other documents (UCP 600, sub-article 14(d)).
8. Signed by the issuer and may be dated (ISBP 745, paragraph L1).

Document to be legalised, certified or visaed as required by the documentary credit.

12.6 Presenting the documents

In order to receive payment, the beneficiary needs to prepare and present (or arrange the presentation of) a set of documents that complies with the terms and conditions of the documentary credit.

12.6.1 Mode of presentation or transmission

The vast majority of presentations under documentary credits are still paper-based. Over time, it is likely that there will be an increasing number of mixed presentations, comprising part paper, part electronic documentation, or of entirely electronic presentations.

12.6.2 Presentation and UCP 600

UCP 600 articles and sub-articles 6, 14(c), 29 and 33, collectively refer to where and when documents are to be presented in order to meet the requirements of a documentary credit. (This section relates to paper-based presentations.)

Under **UCP 600, article 29**, the instances under which 'Extension of Expiry Date or Last Day for Presentation' will be permitted are as follows.

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a. If the expiry date of a credit or the last day for presentation falls on a day when the bank to which presentation is to be made is closed for reasons other than those referred to in article 36, the expiry date or the last day for presentation, as the case may be, will be extended to the first following banking day.

b. If presentation is made on the first following banking day, a nominated bank must provide the issuing bank or confirming bank with a statement on its covering schedule that the presentation was made within the time limits extended in accordance with sub-article 29 (a).

c. The latest date for shipment will not be extended as a result of sub-article 29 (a).

Under **UCP 600, article 33**, the 'Hours of Presentation' are limited as follows.

A bank has no obligation to accept a presentation outside of its banking hours.

When documents have been presented, there are a number of key points that will be considered by a document examiner, as follows.

- **Have all documents been presented to the correct location?**

  - In a documentary credit available by payment, acceptance, deferred payment or negotiation with a named nominated bank, this is usually the counter of that nominated bank.

  - In a documentary credit available with any bank, this may be stated more generally, for example as any bank in the city or the country in which the beneficiary is located.

In either case, the beneficiary may also present documents directly to the issuing bank. If a documentary credit is available only with the issuing bank, the place for presentation of documents is the location of the issuing bank.

- **Have all the documents been presented on, or before, the expiry date of the documentary credit?**

Technically, an expired documentary credit is not a discrepancy, but a non-existent documentary credit. To facilitate the documentary credit and as an accommodation to the presenter, however, most banks treat 'credit expired' as a discrepancy and advise the presenter accordingly.

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- **Have all documents been presented no later than the stated presentation period or the default period stated in UCP 600, sub-article 14(c)?**

If one or more original transport documents form part of the presentation, they must also be presented within the latest presentation date after shipment, as stipulated in the documentary credit, or the default 21-calendar-day period if the documentary credit is silent on the subject.

If the expiry date stipulated in the documentary credit or the latest date for presentation falls on a day when the bank is not open to perform an act subject to UCP 600, such date or dates are automatically extended to the next banking day. This does not apply in the case of 'Force Majeure', which is explained in **UCP 600, article 36**.

> A bank assumes no liability or responsibility for the consequences arising out of the interruption of its business by Acts of God, riots, civil commotions, insurrections, wars, acts of terrorism, or by any strikes or lockouts or any other causes beyond its control.
>
> A bank will not, upon resumption of its business, honour or negotiate under a credit that expired during such interruption of its business.

If documents have been presented on an extended expiry date in accordance with UCP 600, sub-article 29(a), the covering schedule of the nominated bank should be marked with a statement to this effect.

A bank is under no obligation to accept a presentation made after its published banking hours. If a bank does accept a presentation outside its banking hours, care should be taken to ensure that the presentation date is understood for the purposes of UCP 600. A bank may indicate shorter hours than the banking hours available at a particular centre for the presentation of documents and, accordingly, the presentation schedules must be examined for any evidence of compliance with such limitation.

12.7 Discrepant documents

In most cases, a beneficiary will present documents that it believes comply with the terms of the documentary credit. A document examiner may examine documents (if the documentary credit is not confirmed) or will examine documents (if the documentary credit is confirmed) before forwarding them to the issuing bank. The examination process is considered in detail in Chapters 13, 14 and 15. If discrepancies are found in the documents, a nominated bank will usually follow the process outlined in the following sections.

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If the beneficiary knows that it will be presenting discrepant documents, it may request an amendment from the applicant in advance to try and rectify some, or all, of the discrepancies. If this is agreed, the issuing bank will forward its amendment to the advising bank. The document examiner will ignore any statements from the presenter that discrepancies have been approved unless the issuing bank has forwarded its acceptance of the discrepancies or it has issued an amendment that covers the discrepancies observed.

12.7.1 The role of a nominated bank in processing discrepant documents

This includes where the nominated bank is the confirming bank. In this process, the examiner will be guided by a number of principles, as follows.

- Document examination is independent of the sale or other contract upon which the documentary credit may be based (UCP 600, article 4).
- Document examination is independent of the beneficiary's relationship with the applicant (UCP 600, sub-article 4(a)).
- Document examination is independent of the goods, services or performance to which the documents relate (UCP 600, article 5).
- Document examination is on the basis of the documents alone and on their face. A determination as to whether the documents comply or not is *not* based on knowledge that may be gained from other sources (UCP 600, sub-article 14(a)).

This process is covered in more detail in Chapter 13.

12.7.2 Giving notice of refusal to a beneficiary or presenting bank

If, after examination, the document examiner decides to give notice of refusal to the beneficiary – if the beneficiary has presented the documents; otherwise, to the presenter – this is generally completed over the telephone, or by telex or fax. If the notice is given over the telephone, it is best practice to confirm the content of the refusal in writing (by means of fax advice).

It is important that the bank's document examination record or the documentary credit file is annotated with details of dates, time and methods of notification. Copies of the notification should form part of these records. If a bank has made presentation, the notice of refusal should be sent to that bank by telecommunication or, if that is not possible, by other expeditious

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means no later than the close of the fifth banking day following the day of presentation. In most cases, the notice will be sent via SWIFT MT734 message. It should be noted that a refusal notice is not required to be sent using an authenticated message.

12.7.3 Discussions with beneficiaries

Because the documents belong to the beneficiary, a document examiner must not initiate any further action or handling without the beneficiary's agreement. In particular, the issuing bank must not be advised of discrepancies because the beneficiary may well be able to correct them. Alternatively, the beneficiary may wish to contact the applicant directly. Any prior contact with the issuing bank may jeopardise the beneficiary's position.

After preliminary discussions, a document examiner and beneficiary may agree that one or a combination of the following would offer the best course of action.

- The beneficiary will submit corrected documents, if possible, or arrange alteration or correction to the concerned document(s).
- The beneficiary will request a suitable amendment to the documentary credit.
- The beneficiary will request that a message be sent to the issuing bank for permission to honour or negotiate despite discrepancies, as originally determined or as amended as above.
- A document examiner, on behalf of his or her bank and in terms of such bank's internal guidelines, may accept a beneficiary indemnity (with or without the counter-guarantee from the beneficiary's bankers) in respect of discrepancies, as originally determined or as amended as above. (Note that some documentary credits do not allow payment against a beneficiary indemnity or under reserve.)
- The beneficiary will instruct the document examiner to despatch documents to the issuing bank for settlement.

The beneficiary's instructions must be clearly annotated on the bank's document examination record and should be confirmed in writing.

The relevant date for presentation is the date of presentation of the last document(s) required to make a set of compliant documents. It is in the interests of a document examiner to record accurately on the bank's document examination record all details of discussions with a beneficiary, including dates and times.

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12.7.4 Correction of documents by beneficiaries

A document examiner may prefer to return for correction only the discrepant documents. If the beneficiary agrees to this, it may be easier for a document examiner to examine the re-presented documents with those originally presented and which are compliant. If the beneficiary takes away all of the documents as originally presented, a document examiner's task may become a little more difficult when the fresh presentation is made, because all documents will need to be re-examined.

A document examiner must treat the return of the corrected documents, on their own or as part of the whole set of documents, as a new presentation. A fresh presentation made in these circumstances often causes more difficulties than checking a new presentation. There is an inherent tendency to make assumptions in respect of documents that did not require correction and a document examiner must avoid this. Frequently, a re-presentation of documents will create fresh discrepancies, such as late presentation or credit expired.

12.7.5 Obtaining the issuing bank's authority to accept discrepancies

A document examiner must ensure that the sending of the message has the authorisation of the beneficiary. On receipt of the necessary authorisation from the issuing bank, the documents may be honoured or negotiated and forwarded to the issuing bank. The forwarded documents should include a notation on the covering schedule that the documents have been taken up 'notwithstanding the stated discrepancies, as authorised by the issuing bank in its message dated xxxx'.

12.7.6 Receiving instructions from a beneficiary to dispatch documents to an issuing bank for honour

Because the documents belong to the beneficiary, a notice of refusal should specifically state that the documents are held pending the beneficiary's further instructions. Accordingly, any instructions from the beneficiary to forward documents to the issuing bank must be followed carefully.

A document examiner must ensure that the documents are dispatched to the issuing bank as a presentation under the terms and conditions of the documentary credit and UCP 600, and no reference must be made to documents being sent on collection terms, on approval or in trust. Similarly, the covering schedule enclosing the documents must not be headed in such

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a manner as to give an indication of a documentary collection, nor must they state that the presentation is subject to the rules for documentary collections, ie the *Uniform Rules for Collections*, ICC Publication No. 522.

12.7.7 Dispatch of documents to an issuing bank

A document examiner must read the instructions in the documentary credit and dispatch documents in accordance with such instructions, including any specified choice of courier company.

12.7.8 Handling of documents pending settlement

The terms of a refusal notice may indicate that the documents are held pending the beneficiary's further instruction or being handled in accordance with instructions previously received. Accordingly, the beneficiary should continue to be kept advised of any developments with the issuing bank, or efforts to seek further instructions in the absence of any authority to honour or negotiate being received from the issuing bank. A document examiner should follow the operational guidelines of its bank regarding the handling of outstanding items.

12.7.9 Settlement obligations of confirming and nominated banks

The obligations and liabilities of a confirming bank to honour or negotiate a complying presentation are clearly set out in **UCP 600, article 8**.

a. Provided that the stipulated documents are presented to the confirming bank or to any other nominated bank and that they constitute a complying presentation, the confirming bank must:

i. honour, if the credit is available by

a. sight payment, deferred payment or acceptance with the confirming bank;

b. sight payment with another nominated bank and that nominated bank does not pay;

c. deferred payment with another nominated bank and that nominated bank does not incur its deferred payment undertaking or, having incurred its deferred payment undertaking, does not pay at maturity;

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d. acceptance with another nominated bank and that nominated bank does not accept a draft drawn on it or, having accepted a draft drawn on it, does not pay at maturity;

e. negotiation with another nominated bank and that nominated bank does not negotiate.

ii. negotiate, without recourse, if the credit is available by negotiation with the confirming bank.

b. A confirming bank is irrevocably bound to honour or negotiate as of the time it adds its confirmation to the credit.

c. A confirming bank undertakes to reimburse another nominated bank that has honoured or negotiated a complying presentation and forwarded the documents to the confirming bank. Reimbursement for the amount of a complying presentation under a credit available by acceptance or deferred payment is due at maturity, whether or not another nominated bank prepaid or purchased before maturity. A confirming bank's undertaking to reimburse another nominated bank is independent of the confirming bank's undertaking to the beneficiary.

d. If a bank is authorized or requested by the issuing bank to confirm a credit but is not prepared to do so, it must inform the issuing bank without delay and may advise the credit without confirmation.

The position of a nominated bank in this respect is provided for in **UCP 600, sub-article 12(a)**.

a. Unless a nominated bank is the confirming bank, an authorization to honour or negotiate does not impose any obligation on that nominated bank to honour or negotiate, except when expressly agreed to by that nominated bank and so communicated to the beneficiary.

The handling of discrepant documents is covered in more detail in Chapter 18, and honour and negotiation is examined in Chapter 17.

Questions

1. Which of the following transport documents is *not* appropriate for any transport by sea?

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A. A multimodal transport document

B. A bill of lading

C. A charter party bill of lading

D. A CMR note

2. Which of the following documents can convey title to the goods?

A. A non-negotiable sea waybill

B. Air transport documents

C. A bill of lading

D. A CMR note

3. If a nominated bank is closed on the expiry date of a documentary credit and the beneficiary is ready to present its documents, what action must the beneficiary take to prevent the expiration of the credit?

A. It must present the documents on the last day on which the bank is open before the expiry date.

B. It must seek an amendment to the documentary credit, with a new expiry date.

C. It must present the documents on the first day on which the bank is open after the expiry date.

D. It must notify the applicant it cannot present in time.

4. What is the type of bill of lading that is not acceptable under UCP 600 unless it is specifically required or permitted by the documentary credit?

A. A liner bill of lading

B. A through bill of lading

C. A marine bill of lading

D. A charter party bill of lading

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5. 'A documentary credit is issued with the following requirement: "Full set clean on board bills of lading issued to order of the issuing bank, marked notify the issuing bank and freight prepaid." The presented bills of lading comply fully with this requirement, but also indicate a further notify party: the applicant. The applicant name is that which is stated in the documentary credit, but with a different address. The document is complying, because additional notify parties are acceptable and because the documentary credit did not require the applicant to appear as notify party, so that any address may be shown.' Is this statement true or false?

   A. True

   B. False

Note

Author, 2015 refers to G. Collyer / D. Meynell (www.tradefinance.training).

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